

Inmarsat

The British satellite communications company that Sasken created the handheld phone for was founded in 1979 as a United Nations body

Low salaries

According to analysts, IT companies will not increase joining salaries of engineering graduates.

From the garage to the stock exchange

It's a classic Silicon Valley start-up. Rajiv Mody, along with his two friends, left his job to build their dream project out of a garage in California. The business soon travelled miles away to Bangalore, where it continues to rake in millions of dollars in profits. Sasken Communication Technologies is known for its expertise in developing software embedded within chips, and multimedia technology for cell phones. Nearly 50 million handsets worldwide carry intellectual property created by Sasken. Mody is now pulling all-nighters to wrap up his final-frontier project – the next generation of satellite phones.

**Always learning,**

Mody feels his willingness to learn and experiment has helped him immensely in building his million-dollar business.

As told to Jacob Cherian
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I was born in Mumbai and did my schooling in Rajkot. After I completed my engineering in 1981, I went to the Polytechnic Institute of New York University. In my second year there, I began teaching undergraduate students. It was a tough job – I was teaching a class of nearly 50 students about things that I wasn't completely sure of.

The American students asked really difficult questions. After my very first class, someone reported me for doing a lousy job. I had to face the administration. Thereafter, I fought hard to overcome the fear of teaching and went on to teach graduate students.

I gleaned a valuable lesson – consider the view point of the person sitting on the other side of the table. These years also taught me the importance of preparation and the trick to dealing with a rough crowd.

In 1983, a campus interview got me placed at Advanced Micro Devices, better known as AMD. We did a lot of skunk work there, trying to look for the best possible approach for circuitry on microchips. It was a great time to be in California. The area was full of old friends doing similar work at good companies.

Two years later, I moved out of California. I joined a small company, called Seattle Silicon, and did some cutting-edge stuff. By 1987, I moved back to California since my dentist

wife could practice there, but not in Washington. I joined VLSI Technology, where I met my future partners, Suresh Dholakia and Badru Agarwala. We would throw around ideas and dissect them over lunch. The concept of building a venture, which would have a face in the US but would leverage the cost advantage of India, emerged during such meetings.

In October 1989, all three of us quit on the same day and began working out of Badri's garage in Fremont, California. We managed to raise US\$200,000 from investors and added to that our grand savings of US\$35,000. By January 1990, we had our first order from Bell-Northern Research Labs to develop software at a distance.

Almost simultaneously, we also applied for an Export Oriented Unit licence in India. I am a believer of the old adage that luck favours the bold. We were given the licence on the condition that we would export Rs. 90 lakhs worth of our product in the next five years. The exchange rate stood at Rs. 14 to a dollar. It seemed like a huge target back then, but we surprised ourselves by achieving it in a year and a half. In April 1990, we sold our digital simulator, called Vx-SIM, to NTT and Konami in Japan for US\$250,000.

My wife and I headed back home. It was a risky decision, but I still had my Green Card if things went terribly wrong. I shuttled between India and US, meeting potential clients.